

nent that sets them apart. Uber too. All of these are tech startups.

The success of e-commerce across the nation is in itself testimony to Indians having burst on to the technology scene. Your user base for that company you want to start has just hit critical mass! Everything from here on is a chain reaction that will ensure your user base keeps growing.

However, we ourselves are the old guard; the established business, the brand everyone already has heard of. What the heck do we know about startups? A very valid observation. That's why we spent the better part of a month talking to the people who actually started something... So let's take a look at what we found out when talking to startups.

EUREKA!

Like we've said before, the idea is a huge part of most success stories. When it hits you, you just know that the idea is worth following through on, however this involves a whole lot of work. Shaping your idea into something actually workable is your next step. Let's take a look at how some of the startups we interviewed arrived at their ideas.

Sometimes an idea strikes you when you have a need, and realise, after much searching, that there's no one fulfilling this need. For example, Achitra Borgohain, Founder BinBag.com, a startup that helps you recycle your waste responsibly, was frustrated when trying to dispose of household items herself. He says, "I tried calling recycling companies when I wanted to dispose of my old stuff (PC, Geyser, etc), and was told they don't pick up anything under 200 kgs! You can get new phones delivered to your doorstep, but there was no one ready to come and take away a phone you want to dispose of." In just eight months, BinBag has diverted over 3,000 kgs of waste to recycling plants; this is waste which would otherwise end up in landfills and poison the land and ecology.

Some ideas just come to you while still in college, or through a college project. Take the example of Jack of all Threads, a platform for crowdfunding T-Shirt designs started by Yash Vardhan Kanoi, Pratibha Nair and Apoorva Agarwal. "We started out as a t-shirt printing service for college students, and knew in our first few weeks that we wanted to

do more. We developed ways to involve buyers more in propagating their passions through unique concepts. The idea of the crowdfunding platform thus came soon after, as the necessary next step, nearly three years ago," says Yash.

Some others just want to do some good when they're already in a position of power. Sean Blagsvedt came to Bangalore to help set up Microsoft Research India, but ended up trying to bring the power of technology to those who wouldn't normally benefit from it. The result, BabaJob, a platform to help people find jobs in the

₹15,000 per month and under category. "In 2006, I came across a Duke University study that the primary path out of poverty for rural Indians was income diversification, usually by securing another job," says Sean. We all know this facet of India, when it comes to jobs for delivery boys, drivers, maids, etc., we want a reference, and job information often spreads only through word of mouth. Sean continues, "My immediate thought was if only we could digitise all the jobs, seekers and connections among people, we could catalyse the escape from poverty." Today, BabaJob



VC Speak with Alok Goyal of Helion Ventures

Who better to tell you about the pitfalls on the road to success than a venture capitalist? These are the guys who've seen a thousand startups start and fail. Better than learning from your own mistakes is learning from other people's mistakes, we always say. Here are Alok's 7 sins for tech startups:

- 1** The first pitfall is something that's been documented in a book called "The Founder's Dilemmas". The peril talked about has nothing to do with the market, the product or any of the common problems you may anticipate. It is to do with the founders not being able to get along through the journey of the startup. So distribution of equity, clarity of roles, governance processes in case of a disagreement – all these squishy topics need to be discussed and documented at an early stage.
- 2** You can't think you have a "unique" product because you have one or two different features from what's already available. That doesn't fly. Your product should at least satisfy two conditions: First, it needs to be a "must-have", and second, in needs to be 10x better than the existing products in the market.
- 3** Don't believe in your Kool-Aid too much. It's good to have a hypothesis. But it is more important to use the hypothesis with real data and customers' feedback. Do not be married to what your opinion was when you started the company.
- 4** "Kill mistakes quickly" should be your experimentation mantra. An experiment is not an experiment if it has been continuing for the past two years and still not working.
- 5** Don't put the cart before the horse. "Often I find that entrepreneurs are putting in a lot of money in scaling when the product market fit doesn't exist," says Alok.
- 6** Many entrepreneurs, especially tech-based startup guys, have the notion that once they build a product, people will buy. Unfortunately the world doesn't work that way. Sometimes even a not so great product can win the story because the founding teams have a very strong marketing and sale side. Don't ignore marketing.
- 7** Managing your growth capital is very important. Don't under raise or over raise. Similarly hiring decisions are tricky. Many startup founders will either not hire for a long time or will hire people who are not truly upto the mark. It may be either because of the fear that people will not come in or because of the fear that they will lose too much in the process.